

FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.

Complainant,

v.

NYK LINE (NORTH AMERICA)
INC.,

Respondent.

Docket No. 16-02

Served: May 22, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*; Rebecca F. DYE and Daniel B. MAFFEI, *Commissioners*.

Order Granting Joint Petition for Approval of Settlement Agreement, Dismissal with Prejudice, and Motion for Confidentiality of the Settlement

On April 18, 2018, Complainant and Respondent jointly requested that the Commission approve a settlement agreement, dismiss this action, and grant confidential treatment to the settlement agreement. For the reasons set forth below, the Federal Maritime Commission (Commission) grants the request.

I. BACKGROUND

On January 29, 2016, Complainant D.F. Young, Inc. (DFY or Complainant), a licensed freight forwarder, filed a Complaint alleging that NYK Line (North America) Inc. (NYK or Respondent), an ocean common carrier, violated the Shipping Act of 1984. DFY alleged that NYK violated 46 U.S.C. § 41102(c) and 46 C.F.R. § 515.42 by refusing to compensate DFY for the freight forwarding services performed on shipments placed on vessels owned or operated by NYK, its agents, or its affiliates. Compl. at 11.

NYK filed a Motion for a Summary Decision on January 9, 2017. DFY filed its own Motion for Summary Judgment on January 11, 2017. On August 1, 2017, the Administrative Law Judge (ALJ) issued an Initial Decision denying DFY's Motion for Summary Judgment and granting NYK's Motion for a Summary Decision, and dismissed DFY's Complaint. *D.F. Young, Inc. v. NYK Line (North America) Inc.*, 34 S.R.R. 874 (ALJ 2017).

This proceeding is before the Commission by DFY's filing on September 6, 2017, of a Motion to Recognize the Terms of NYK's Tariff and Bills of Lading, or, in the alternative, to Re-open and Remand. On the same day, DFY also submitted Exceptions to the ALJ's Initial Decision. While the Commission was reviewing the Motion and Exceptions, the parties filed on March 27, 2018, a Joint Petition to Hold This Action in Abeyance Pending Settlement between the Parties. Subsequently, on April 18, 2018, the parties filed a Joint Petition for Approval of a Settlement between Complainant and Respondent and for Dismissal of This Action with Prejudice, together with a Motion to Maintain the Confidentiality of the Settlement.

II. DISCUSSION

The Commission's regulations permit settlement, subject to Commission approval. 46 C.F.R. §§ 502.72(a)(3), 502.75 (a)-(b). The Commission reviews settlement agreements to determine "whether the settlement appears to violate any law or policy and to

ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). As part of this analysis, “the Commission looks to see if the settlement has a reasonable basis and reflects the careful consideration by the parties of such factors as the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia – New Zealand Conference and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988)). The Commission’s inquiry is informed, however, by its “strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.” *APM Terminals*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)) (internal quotation marks and brackets omitted).

Having reviewed the proposed settlement, the Commission finds that it does not appear to violate any law or policy. The settlement resolves a simple claim for monetary reparations arising out of a dispute over the applicability of certain tariff provisions. It does not call for any act or omission that contravenes the Shipping Act, and it does not affect any third parties.

The Commission also finds that the settlement is fair, adequate, and reasonable, and it is free of fraud, duress, undue influence, mistake or other defect that might make it unapprovable. Both DFY and NYK are sophisticated business entities. In reaching the settlement, both had the benefit of advice from attorneys that have represented them throughout this proceeding. Jt. Petition at 4. The settlement appears to be the result of the factual discovery and analysis, as well as year-long negotiations between the parties. Further, the parties have good cause to settle. This proceeding has been ongoing for more than two years, and DFY filed a motion to recognize NYK’s tariff and bills of lading, a motion to reopen and remand, and exceptions to the ALJ’s initial decision. In spite of incurring substantial litigation costs and expenses for this proceeding, the parties recognize that the Commission’s decision

could still be appealed to an appellate court, thus further prolonging the litigation. The parties further recognize that the outcome is still uncertain to both parties, and a losing party risks being liable for the prevailing parties' attorney fees, which can be substantial. Although the Commission does not rubber-stamp settlements, it also does not second-guess such valuations. *APM Terminals*, 31 S.R.R. at 626.

Finally, pursuant to the parties' joint motion for confidential treatment, the Commission will treat the proposed settlement agreement confidentially under 46 C.F.R. § 502.5. While they have done little to demonstrate that the information at issue is a trade secret or other confidential research, development, or commercial information, 46 C.F.R. § 502.5(b), the Commission has granted confidential treatment to settlement information in the past. See *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Dkt. No. 13-07, 2015 FMC LEXIS 4, at *16-*19 (FMC Apr. 14, 2015). And the Commission recognizes that settlement agreements often contain sensitive commercial information that should be protected from public disclosure.

III. CONCLUSION

THEREFORE, The Commission **GRANTS** the parties' joint request, and **ORDERS** that:

- (1) the proposed settlement agreement is **APPROVED**;
- (2) the proposed settlement agreement is **CONFIDENTIAL**;

- (3) the above-captioned proceeding shall be **DISMISSED WITH PREJUDICE AND WITHOUT COSTS OR ATTORNEY FEES TO EITHER PARTY**; and
- (4) this proceeding shall be **DISCONTINUED**.

By the Commission

Rachel Dickon
Secretary